

Module 8

Principles of Auditing

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer 1(a)

For the acceptance of a new client, CCA & Co has to consider the following:

- The integrity of the principal owners, key management and those charged with governance of the entity;
- The competency of the audit firm to perform the audit;
- Engagement team has the necessary capabilities, time and resources to perform the audit;
- Whether the firm and the engagement team can comply with ethical requirements;
- Any illegal activities undertaken by the new client that are aware of; and
- Whether CCA & Co can communicate with the outgoing auditors.

Answer 1(b)

In order to establish whether the preconditions for an audit are present, the auditor shall:

- (a) Determine whether the financial reporting framework to be applied in the preparation of the financial statements is acceptable; and
- (b) Obtain the agreement of management that it acknowledges and understands its responsibility:
 - (i) For the preparation of the financial statements in accordance with the applicable financial reporting framework, including where relevant their fair presentation;
 - (ii) For such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; and
 - (iii) To provide the auditor with:
 - Access to all information of which management is aware that is relevant to the preparation of the financial statements, such as records, documentation and other matters;
 - Additional information that the auditor may request from management for the purpose of the audit; and
 - Unrestricted access to persons within the entity from whom the auditor determines it necessary to obtain audit evidence.

Answer 1(c)

Adequate planning benefits the audit of financial statements in several ways, including:

- Helping the auditor to devote appropriate attention to important areas of the audit;
- Helping the auditor to identify and resolve potential problems on a timely basis;
- Helping the auditor properly organise and manage the audit engagement so that it is performed in an effective and efficient manner;
- Assisting in the selection of engagement team members with appropriate levels of capabilities and competence to respond to anticipated risks, and the proper assignment of work to them;
- Facilitating the direction and supervision of engagement team members and the review of their work; and
- Assisting, where applicable, in coordination of work done by auditors of components and experts.

Answer 1(d)

The important elements of the audit planning process are:

- Assess risk;
- Devise responses to identified risks;
- Develop the audit strategy;
- Determine materiality;
- Develop the audit plan; and
- Design audit procedures.

Answer 1(e)

According to HKSA 701, *Communicating Key Audit Matters in the Independent Auditor's Report*, the matters to be communicated to those charged with governance regarding the planned scope and timing of the audit:

- How the auditor plans to address the significant risks of material misstatement, whether due to fraud or error;
- How the auditor plans to address areas of higher assessed risks of material misstatement. The auditor's approach to internal control relevant to the audit. The application of the concept of materiality in the context of an audit;
- The nature and extent of specialised skill or knowledge needed to perform the planned audit procedures or evaluate the audit results, including the use of an auditor's expert;

- When HKSA 701 *Communicating Key Audit Matters in the Independent Auditor's Report* applies, the auditor's preliminary views about matters that may be areas of significant auditor attention in the audit, and therefore may be key audit matters;
- The auditor's planned approach to addressing the implications on the individual statements and the disclosures of any significant changes within the applicable financial reporting framework or in the entity's environment, financial condition or activities;
- The attitudes, awareness, and actions of those charged with governance concerning (a) the entity's internal control and its importance in the entity, including how those charged with governance oversee the effectiveness of internal control, and (b) the detection or possibility of fraud;
- The actions of those charged with governance in response to developments in accounting standards, corporate governance practices, exchange listing rules, and related matters, and the effect of such developments on, for example, the overall presentation, structure and content of the financial statements; and
- The responses of those charged with governance to previous communications with the auditor.

Answer 2(a)

The overall objectives of the independent auditor in conducting an audit of financial statements is:

- To obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, thereby enabling the auditor to express an opinion on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework; and to report on the financial statements, and communicate as required by the HKSA's, in accordance with the auditor's findings; and
- In all cases when reasonable assurance cannot be obtained and a qualified opinion in the auditor's report is insufficient in the circumstances for purposes of reporting to the intended users of the financial statements, the HKSA's require that the auditor disclaim an opinion or withdraw (or resign) from the engagement, where withdrawal is possible under applicable law or regulation.

Answer 2(b)

Fraudulent financial reporting involves deliberately misstating the financial statements to make the company look better or worse than it actually is. This is usually done to present a better financial position in the statement of financial position and higher level of profit in the statement of profit or loss so the financial statements look better than they actually are.

Answer 2(c)

Fraud risk factors for fraudulent financial reporting are listed as follows:

- Incentive or pressure to commit fraudulent financial reporting may exist when management is under pressure, from sources outside or inside the entity, to achieve an expected (and perhaps unrealistic) earnings target or financial outcome – particularly since the consequences to management for failing to meet financial goals can be significant;
- Financial stability or profitability is threatened by economic, industry, or entity operating conditions;
- Excessive pressure exists for management to meet the requirements or expectations of third parties;
- A perceived opportunity to commit fraud may exist when an individual believes internal control can be overridden, for example, because the individual is in a position of trust or has knowledge of specific deficiencies in internal control;
- Pressure placed on management to achieve a profit-related bonus; and
- Loan covenants which, if breached, could cause company debt to be repayable in full

Answer 2(d)

Fraud risk factors for misappropriation of assets are listed as follows:

- Weak or ineffective internal controls, such as poor physical safeguards over assets;
- High value inventory or a high level of cash kept on the premises;
- A dominant individual in a managerial position;
- Disgruntled employees with access to significant assets;
- Missing or "doctored" documents;
- Poor maintenance of accounting records;
- Employee awareness of future redundancies or restructuring plans; and
- Employees not taking holiday entitlement (for fear that the fraud may be discovered in their absence)

Answer 3(a)

Three types of modified opinions, namely, a qualified opinion, an adverse opinion, and a disclaimer of opinion.

Inability to obtain sufficient appropriate audit evidence and the misstatement is material but not pervasive, qualified opinion.

Financial statements are materially misstated and the misstatement is material but not pervasive, qualified opinion.

Financial statements are materially misstated and the misstatement is material and pervasive, adverse opinion.

Inability to obtain sufficient appropriate audit evidence and the misstatement is material and pervasive, disclaimer opinion.

Answer 3(b)

To determine whether the amount is material or not, we need to consider whether its omission or misstatement could influence the economic decisions of users taken on the basis of the financial statements.

The subsequent selling activities, the mega sale, confirmed the net realisable value of the batch of inventory is HK\$0.5 million lower than the cost of HK\$1.5 million as at 31 December 2019. For the misstatement of inventory, which should be measured at lower of cost or net realisable value, we have to consider its effect on the misstatement of the statement of financial position as well as the profit or loss account. The effect on the profit or loss account is material. The income before tax of HK\$500,000 is misstated as HK\$1,000,000. The gross profit margin is misstated as well. Such misstatements could influence the economic decisions of users.

Answer 3(c)

As the misstatements are material, but not pervasive, a qualified opinion is to be given.

Amend the heading "Basis for Opinion" to "Basis for Qualified Opinion" and within this section, include a description of the matter giving rise to the modification. For this material misstatement of inventory, the auditor shall include in the Basis for Opinion section a description and quantification of the financial effects of the misstatement.

Answer 4(a)

Audit risk Model:

Audit risk = Inherent risk X Control risk X Detection risk

Audit risk - The risk that the auditor expresses an inappropriate audit opinion when the financial

statements are materially misstated. Audit risk is a function of the risks of material misstatement and detection risk.

Inherent risk - The susceptibility of an assertion about a class of transaction, account balance or disclosure to a misstatement that could be material, either individually or when aggregated with other misstatements, before consideration of any related controls.

Control risk - The risk that a misstatement that could occur in an assertion about a class of transaction, account balance or disclosure and that could be material, either individually or when aggregated with other misstatements, will not be prevented, or detected and corrected, on a timely basis by the entity's internal control.

Detection risk - The risk that the procedures performed by the auditor to reduce audit risk to an acceptably low level will not detect a misstatement that exists and that could be material, either individually or when aggregated with other misstatements.

Answer 4(b)

The FIVE components of internal control are:

- The control environment;
- The entity's risk assessment process;
- The information system, including the related business processes, relevant to financial reporting, and communication;
- Control activities; and
- Monitoring of controls.

Answer 4(c)

For a credit sales business for overseas customers, the business of risks are having irrecoverable debts and foreign currency exchange risk.

From the auditor's point, the collectability of accounts receivable and foreign currency exchange risk relate to the valuation assertion of this asset which is an inherent risk of material misstatement of trade receivables, foreign currency exchange gain/ loss and allowance for bad debt expense in the financial statements.

Answer 4(d)

The possible substantive audit procedures to audit sales revenue are:

- Obtain the sales and cost of goods sold analysis report prepared by the entity;
- Prepare the sales and cost of goods sold analysis report if none is prepared by the entity;
- Calculate the gross profit margin, by products or by regions;

- Compare the gross profit margin with those of prior years or current year's budget;
- Review the year-end cut-off sales transactions by inspecting the goods delivery notes/ shipping documents to ensure that sales are recorded in the appropriate accounting period;
- Review the sales account in general ledger for unusual item;
- Test check sample sales transactions from sales account in general ledger to supporting documents such as customer orders, approved sales orders and goods delivery notes/ shipping documents;
- Trace sample customer orders to sales orders, goods delivery notes/ shipping documents, sales invoices and sales ledger;
- Trace sample goods delivery notes/ shipping documents to sales invoices and sales ledger/ sales account in general ledger;
- Comparing prices on sample sales invoice with the approved price lists or sales agreements;
- Review the reasonableness of sales returns and allowance by comparing with prior year;
- Check the arithmetical accuracy of the sales invoices;
- Evaluate the appropriateness of accounting policies in light of the requirements of HKFRS 15 *Revenue From Contracts with Customers*;
- Review the financial statements for the proper presentation and disclosure; and

* * * **END OF EXAMINATION PAPER** * * *